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- Taiwan is highly exposed to oil price shocks amid the Iran conflict, with heavy reliance on thermal power, almost entirely imported, and a large share of crude oil and LNG sourced from the Middle East.
- Direct export exposure to the Middle East is minimal, while structural technology trends continue to support Taiwan's exports.
- An oil price shock would pressure Taiwan's "Goldilocks" mix of strong growth and contained inflation, but is far from causing stagflation.
- The central bank retains monetary policy flexibility.
- **Forecast implications:** We maintain our 2026 GDP growth forecast of 7.0%, while seeing upside risks to our inflation forecast of 1.5%.

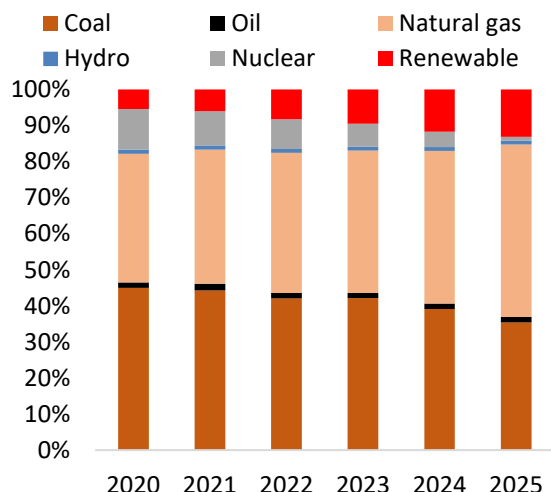
The ongoing conflict involving Iran and the US/Israel has immediately impacted global energy markets and maritime trade. Roughly 20–30% of the world's crude oil and liquefied natural gas (LNG) passes through the Strait of Hormuz, and disruptions there have reduced the flow of Middle Eastern oil and LNG. Markets have responded, pushing Brent crude and other benchmarks higher. Meanwhile, insurers have withdrawn war-risk coverage, and major carriers have suspended Gulf transits, creating vessel backlogs and higher freight costs. Alternative routes around Africa increase transit time and costs, although shipping and logistics are gradually adjusting to these challenges.

Energy exposure

Taiwan is highly exposed to oil price shocks due to its energy structure. The island relies heavily on thermal power, which accounts for around 85% of electricity generation. Although renewable capacity has expanded in recent years, much of the increase has offset the phase-down of nuclear power rather than materially reducing fossil fuel dependence.

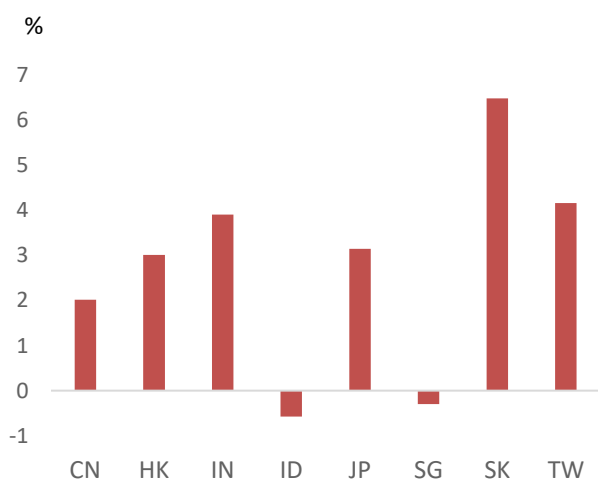
Nearly all thermal fuel inputs are imported. Net fuel imports accounted for around 4% of nominal GDP in 2025, among the highest ratios in Asia, leaving the economy sensitive to sustained increases in global energy prices and shipping costs.

Taiwan: Electricity supply



Sources: CEIC, DBS

Asia: Net fuel imports/nominal GDP (2025)



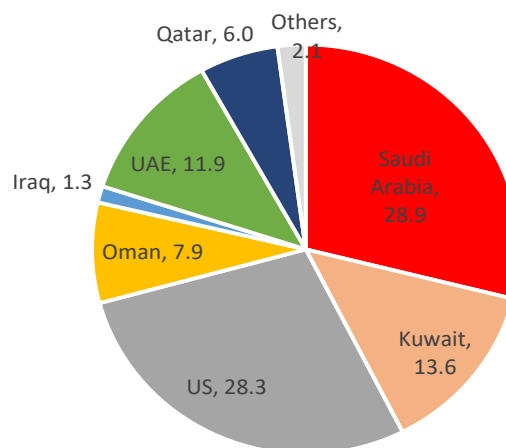
Sources: CEIC, DBS

Taiwan sources roughly 70% of its crude oil from the Middle East—particularly Saudi Arabia, Kuwait, and the UAE—and **about 30% of its LNG from Qatar**. A prolonged disruption in Hormuz would tighten supply and raise costs, although strategic reserves and diversified suppliers reduce the risk of severe shortages.

Higher input costs would raise electricity tariffs and production costs, particularly for energy-intensive sectors such as petrochemicals, steel,

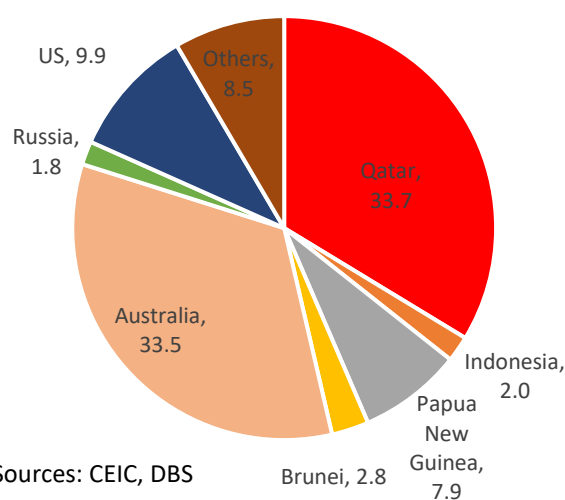
and semiconductor fabrication. Households would face higher energy bills, although government subsidies and ongoing wage growth should help cushion the impact.

Taiwan: Crude oil imports by source (2025)



Sources: CEIC, DBS

Taiwan: LNG imports by source (2025)



Sources: CEIC, DBS

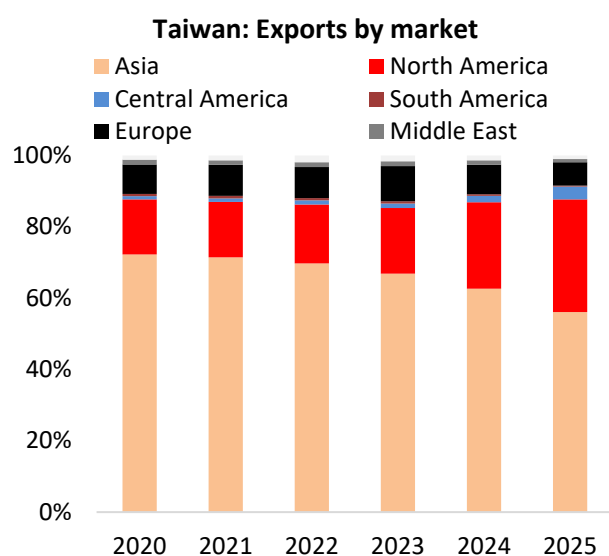
Trade exposure

Taiwan's direct export exposure to the Middle East is minimal, accounting for less than 1% of total exports in 2025. Europe accounts for around 6%, suggesting that shipping disruptions in the Red Sea or Suez Canal would have only a limited first-round impact on trade volumes.

The larger risk comes from second-order effects of higher global energy costs. Elevated oil prices act as a tax on consumption, reducing household purchasing power in key markets such as the US and Europe. This could dampen demand for consumer electronics, PCs, and smartphones. **However, structural technology trends continue to support Taiwan's exports.** AI-related investment, data centers, and industrial policy-driven growth provide a cushion, helping offset a slowdown in traditional electronics exports.

1.3ppt. These estimates exclude additional drag from weaker global demand, which could further affect exports and GDP.

The central bank retains flexibility. With a base-case GDP growth forecast of 7% and CPI at 1.5%, the risk of inflation exceeding 2% may initially outweigh the risk of growth falling below potential (~3%), supporting a bias toward tightening. If external demand weakens and export momentum slows, policymakers can pivot toward easing to stabilize growth.



Sources: CEIC, DBS

Macro implications

An oil price shock would weigh on Taiwan's "Goldilocks" mix of strong growth and contained inflation, but it is far from triggering stagflation. If oil stabilizes around US\$80/bbl, GDP growth could slow by roughly 0.3ppt, with CPI rising about 0.4ppt. If oil reaches US\$100/bbl and remains at that level for the rest of the year, GDP growth could decline by about 0.9ppt, and inflation could rise around

Market implications

Financial markets remain another channel of adjustment. Taiwan's equity valuations are high, with total market capitalization of the TWSE exceeding 300% of nominal GDP. Heightened geopolitical risks may prompt global investors to reduce exposure to high-beta markets. Still, strong corporate earnings and technology sector growth provide resilience, helping the market absorb shocks without destabilizing the broader economy.

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Singapore Budget 2026: Future-focused strategies

Economics/GDP/Fiscal

DBS Group Research

February 13, 2026

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- *Budget 2026 is pragmatic and forward-looking, sharpening economic competitiveness and strengthening the social compact.*
- *Strategic plans to harness AI, spur internationalisation, and boost enterprise funding aligned with the Economic Strategy Review are encouraging.*
- *Social support is reinforced with continued assurances and targeted aid.*
- *Fiscal discipline is reaffirmed with an overall surplus for the third consecutive year in FY2026.*
- *The government projects an overall fiscal surplus of SGD8.5bn (1.0% of GDP) in FY2026, compared to SGD15.1bn (1.9% of GDP) in FY2025.*

We view Budget 2026 as a strategic, forward-looking plan that sharpens Singapore's economic competitiveness and strengthens the social compact under the Forward Singapore agenda, underpinned by fiscal discipline. By laying out the policy toolkit to advance the long-term direction and recommendations in the Economic Strategy Review (ESR) Mid-term Update, it positions Singapore to better navigate an increasingly complex and fractured global landscape amid domestic constraints. At the same time, continued social support aims to strengthen inclusion. We highlight six key takeaways.

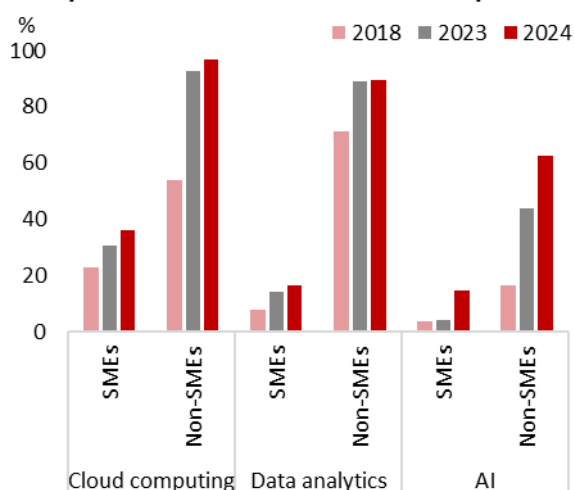
1) **Leveraging artificial intelligence (AI)**

AI, featured prominently within the seven recommendations of the ESR Mid-term Update, is a major focus in Budget 2026. Key policies in the budget aim to leverage technology to power Singapore's next phase of economic growth. **We believe harnessing AI effectively across the economy will boost productivity – a crucial driver of competitiveness and growth over the next decade – as Singapore's mature economy faces increasingly binding land and labour constraints.**

Co-ordinated efforts, including the formation of a National AI Council chaired by the Prime Minister, new national AI Missions across four strategic sectors, and the establishment of an AI park, aim to position Singapore strategically as a global AI leader, driving innovation while enabling effective and targeted deployment of AI at greater scale and speed. A notable enhancement is expanding the Productivity

Solutions Grant (PSG), which has been key in helping small and medium-sized enterprises (SMEs) implement digital and automation solutions to raise productivity over the years. Expanding the PSG to allow firms of any size to access AI-enabled tools will help to defray AI adoption costs and therefore incentivise enterprise-wide adoption, particularly among SMEs, which have lagged large corporates.

**Room for AI adoption to grow;
Gaps between SMEs and Non-SMEs persist**



Source: Singapore Digital Economy Reports, DBS

Building an AI-ready workforce will also be a key ingredient for broad-based AI utilisation across the economy. To encourage wide-spread learning, familiarity, and usage of AI, Singaporeans who undergo selected training courses will receive six months of free access to premium AI tools, supported by a redesigned SkillsFuture website to help learners better identify suitable AI courses. The expansion of TechSkills Accelerator for mid-career workers will gradually diffuse AI capabilities into non-tech sectors, starting with accountancy and legal professions before extending to other fields.

2) Spurring internationalisation and increasing capital availability

Strengthening connectivity and aggressively supporting internationalisation is another key recommendation in the ESR Mid-term Update. Enhanced internationalisation schemes, such as the Market Readiness Assistance Grant and the Double Tax Deduction for Internationalisation scheme, will support the ambitions of Singapore enterprises, as they aim to expand into new overseas markets and diversify revenue streams for greater growth, as well as build resilience amid global uncertainty and a limited domestic market. **This internationalisation momentum is evident, with around eight in 10 SMEs planning overseas expansion in 2026, according to a recent DBS Business Pulse Check survey.**

The ESR Mid-term Update also recommends sustaining a vibrant startup ecosystem through increased enterprise capital availability. Various enhancements and top-ups to the Startup SG Equity Scheme (SGD1.0bn), the Anchor Fund (SGD1.5bn), and the Financial Sector Development Fund (FSDF) (SGD1.5bn) broaden access to funding from private to public markets, supporting companies' growth ambitions. **Boosting the Equity Market Development Programme (EQDP) via the FSDF will add impetus to the ongoing revival of the public equities market.**

3) Committed to green transition

Budget 2026 reaffirms Singapore's steadfast commitment to the green transition and sustainability. The city continues to make progress towards its long-term target for net zero emissions by 2050. The government is therefore raising the 2030 solar deployment target to 3 gigawatt-peak, after reaching the

target of 2 gigawatt-peak well ahead of schedule. It also reiterated its goal of achieving 100% cleaner energy vehicles by 2040. The extension of the Energy Efficiency Grant and green loans support under the Enterprise Financing Scheme will provide businesses with key financial support to adopt green solutions.

Singapore will press on with increasing the carbon tax to spur decarbonisation from the current SGD45/tonne. Yet, Budget 2026 signals that the carbon tax may be positioned at the lower end of its projected SGD50-80/tonne range by 2030, giving businesses greater clarity for planning future carbon costs.

4) Alleviating business cashflows and costs

With economic resilience still possibly likely to be tested this year amid external uncertainty, the government will provide a slightly reduced corporate income tax rebate, which we expect to continue supporting firms' cashflow needs. Companies are also likely to be prudent on cost management, particularly manpower-related expenses. In this regard, enhancements/extensions to various schemes, such as the Progressive Wage Credit Scheme, the Senior Employment Credit, and the CPF Transition Offset, will help shoulder wage costs, amid efforts to uplift lower-wage workers and encourage the continued employment of senior workers.

5) Strengthen social compact

Government efforts to strengthen the social compact by mitigating inequality and strengthening inclusion are evident in the budget policies. Key initiatives include raising the Local Qualifying Salary to uplift the incomes of lower-wage workers, increasing the monthly household income threshold for pre-school education subsidies, and enhancing the

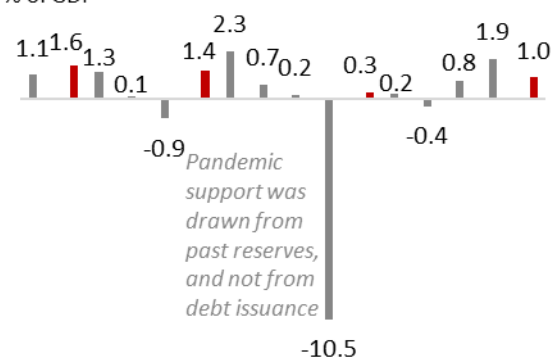
ComLink+ Progress Packages for families. The latest round of targeted assistance, including cash payments, U-Save rebates, and CDC vouchers, builds on earlier support frameworks and provides timely cushion and relief to households facing ongoing cost pressures.

6) Strong fiscal position

Budget 2026, the first fiscal plan of the new term of government, strikes a balance between calibrated, targeted policy support and fiscal discipline. The government's budgeted overall fiscal surplus of SGD8.5bn (1.0% of GDP) for FY2026 marks the third consecutive year of surplus, extending the positive public financial performance of recent years, even amid increased focus on various spending priorities. The fiscal impulse is assessed to be mildly expansionary in FY2026.

Fiscal prudence was typically observed in the first budget of a new government term

Overall fiscal position,
% of GDP



FY2011 FY2014 FY2017 FY2020 FY2023 FY2026
(B)

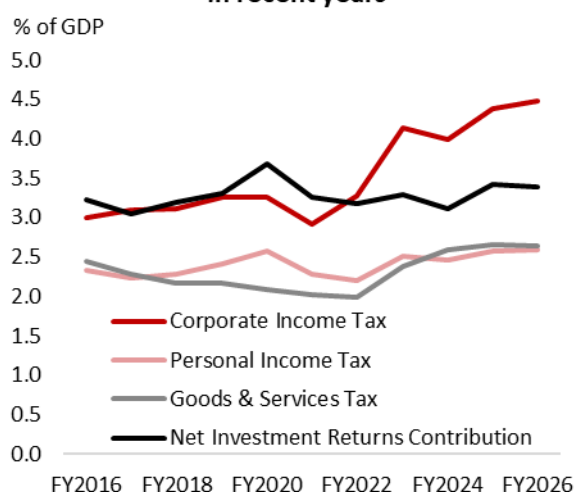
Source: CEIC, MOF, DBS

Based on outcomes from FY2021 to FY2024 and higher revised surplus of SGD15.1bn for FY2025, we estimate that the government is poised to cumulatively accumulate a strong overall positive fiscal position of SGD22.3bn over its previous term. This reflects Singapore's robust and resilient economic performance despite global turbulence.

Healthy public finances and fiscal strength remain a key competitive advantage, providing the crucial policy space to deliver bold, strategic plans to navigate the significant shifts in an increasingly complex global environment.

As a share of GDP, total revenues (comprising operating revenue and Net Investment Returns Contribution, NIRC) will remain strong, and continue outstripping total spending (comprising total expenditure and special transfers) of 18.9%, despite falling slightly to 19.4% in FY2026 from 19.7% in FY2025. Corporate income tax revenues will remain the largest revenue contributor, sustaining at above 4% of GDP for the fourth consecutive fiscal year. The government expects higher corporate tax collections in FY2027 with the implementation of the Top-up Tax under Pillar Two of BEPS. Total revenues will also be bolstered by the NIRC at a stable 3.4% of GDP.

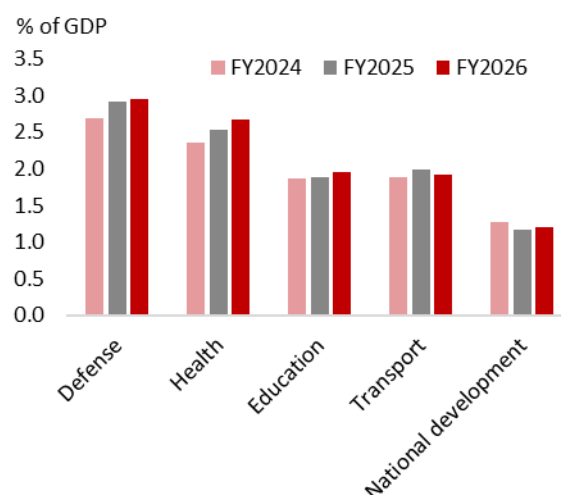
Strength in key revenue sources in recent years



Source: CEIC, MOF, DBS

However, the government's spending needs will rise over time to meet top priorities in areas such as defence, healthcare, education, and the economy. Amid an unstable world due to rising geopolitical uncertainty, Singapore will increase its defence spending to 3.0% of GDP in FY2026. It expects security-related expenditures to rise in the coming years to keep Singapore safe and secure, and is prepared to allocate more if needed. Healthcare spending will rise to 2.7% of GDP in FY2026 from around 2.4-2.5% of GDP in the preceding four years, and is also poised to face upward pressures as Singapore tackles demographic challenges from a rapidly aging population.

Continued spending in key areas



Source: CEIC, MOF, DBS

Special transfers will decline for the third consecutive year to 2.6% of GDP in FY2026, but the government continues to make strategic top-ups and investments to support long-term economic strategies and priorities. These include additional allocations to the Changi Airport Development Fund (SGD6bn) to boost air connectivity, as well as the National Productivity Fund (SGD6bn) and National Research Fund (SGD5bn) to drive research and development as well as innovation.

Singapore's overall fiscal position

	Actual FY2024	Revised FY2025	Budgeted FY2026	Change over Revised FY2025	
	SGD bn	SGD bn	SGD bn	SGD bn	% change
Operating revenue	115.5	130.9	134.8	3.9	3.0
Less:					
Total expenditure	112.3	124.5	137.3	12.9	10.3
Operating expenditure	88.9	97.5	103.3	5.8	6.0
Developmental expenditure	23.4	27.0	34.0	7.1	26.1
Primary surplus/deficit	3.2	6.4	-2.6		
Less:					
Special transfers	25.0	23.4	21.7	-1.6	-7.0
Special transfers excluding top-ups to endowment and trust funds	3.0	3.8	2.8		
Basic surplus/deficit	0.3	2.6	-5.4		
Top-ups to endowment & trust	22.1	19.6	18.9		
Add:					
Net investment returns contribution	24.1	27.5	28.5	0.9	3.4
Overall budget surplus/deficit	2.3	10.6	4.2		
Add:					
Capitalisation of nationally significant infrastructure	4.2	5.0	5.0		
Less:					
SINGA interest costs & loan expenses	0.4	0.5	0.7		
Overall fiscal position	6.1	15.1	8.5		
Overall balance as % of GDP	0.8	1.9	1.0		

Source: MOF

Economic Strategy Review (ESR) Mid-term Update

#	Recommendations	Details
1	Extend our lead and establish global leadership in key growth sectors	• Harness AI, automation and sustainable technologies to transform advanced manufacturing • Tap on our reputation to grow a trust industry • Capture higher-value jobs and new opportunities for Singaporeans
2	Boldly pursue emerging opportunities to create new engines that can push the growth frontier of our economy	• Invest in areas such as quantum and space tech • Attract and nurture globally-leading enterprises • Sustain a vibrant start-up ecosystem and entrepreneurial culture, with more support for high-potential start-ups
3	Establish Singapore as an AI leader with an AI-empowered economy	• Position Singapore as a place to develop, test, deploy and scale impactful AI solutions • Drive AI adoption across the economy to lift productivity • Support firms and SMEs to transform and benefit from AI
4	Strengthen connectivity and linkages to global markets, and more aggressively support firms to internationalise	• Invest in transport hubs and networks for new supply chain opportunities • Strengthen trade cooperation • Help firms venture overseas and bring value back to Singapore through higher-value jobs and additional revenue
5	Broaden the range of good jobs in our economy	• Uplift and transform jobs in sectors that can better withstand global shifts • Including jobs in skilled trades and care and social services • Nurture a new generation of founders to build the next wave of enterprises and jobs
6	Make lifelong learning a practical reality and empower every worker to take charge of their career	• Make lifelong learning a practical reality by blending training with work • Build AI literacy across the workforce • Strengthen career transition support via better career guidance, job matching and placement services
7	Enable our businesses to proactively navigate transitions	• Help firms better understand and shift to more viable opportunities as the economy restructures • Review tools and resources available to business leaders

Source: Singapore government

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